STARWEAVER®

Hands-On-Learning: Define Cyber Risk Tolerance Thresholds

Scenario

You are part of the risk management team at a mid-sized technology company. Your organization has recently completed a cyber risk assessment that scored several potential threats based on impact and likelihood. However, leadership is unsure which risks require immediate action, which can be monitored, and which are acceptable. Your task is to define the organization's risk appetite and tolerance thresholds, and then use these thresholds to classify the existing risks into meaningful categories.

Instructions

1. Open the provided Excel Risk Register Template.

Locate the columns for Impact, Likelihood, and calculated Exposure Score (Impact × Likelihood).

2. Set your thresholds.

- In the threshold cells at the top, enter a Risk Appetite Score (e.g., 6)
- Enter a Risk Tolerance Score (e.g., 10)

3. Apply conditional formatting.
   - Use color codes:
     - Green = Acceptable (≤ Appetite)
     - Yellow = Mitigable (between Appetite and Tolerance)
     - Red = Critical (≥ Tolerance)

4 Classify each risk.

In the “Action Needed” column, use logic to label each risk as:

- Accept
- Mitigate
- Escalate

5 Add notes or rationale.

In the “Comments” column, briefly explain why a particular action was selected (e.g., “Low likelihood, monitored quarterly” or “High impact — escalated to CISO”).

This activity gives learners a chance to apply the lesson by:

- Practicing how to set clear risk thresholds
- Translating exposure scores into governance-aligned decisions
- Gaining hands-on experience with an Excel-based risk register
- Reinforcing the difference between appetite, tolerance, and action

Instructions for Documenting and Sharing the Project for Peer Review

Document the Project

- Use a word processor (e.g., Word or Google Docs) to compile all materials into a single project report.
- Ensure clarity, structure, and that each required section is present.
- Edit for professionalism and business-appropriate tone.

Share the Project

- Save your full report and the PowerPoint slide as PDFs.
- Upload both files to the Peer Review area in the course platform.
- In your submission post, include a 2–3 sentence description of what you learned and what your report includes.

Peer Review

- Read at least two peer submissions.
- Provide constructive, respectful feedback on clarity, logic, visual effectiveness, and actionability.

By completing this project, you'll walk through the full cyber risk management process—from identification to executive communication. You'll reinforce your ability to use structured tools and techniques that translate technical risk into strategic action.